

which is marketed, can be called as gainful employment. The decision about allocation time between two types of work is taken at the level of individual household.

8.6 WAGES DETERMINATION

Wage fixation had been a problem for the managers and state both. At micro level, institutional and market variables determine the terms and condition of employment. In entire labour economics the wages is the most critical issue. Adequacy of wages is an everyday problem for managers. To deal with this problem, one needs thorough insight in wage concepts, criteria and basis for wage determination, the components of wage payment, and the methods of wage fixation.

8.7 THE WAGE CONCEPTS

If we trace the wage concept of colonial rule, we recall that a piece of land called feud was given to the labourer in lieu of wages such system is still prevalent in the district of Katihar, Kishanganj, Saharsa, East and West Champaran, districts of North Bihar. Another way was paying the wages by cash. However in under developed countries like India where labour may be available on the state of starvation wages, can be seen in the remote areas of districts of Jharkhand in eastern India where women live without clothes and at a time only one woman can go for work as in entire family lot, there is one and only one dress to wear but such acts can not be encouraged or favoured in democratic welfare state. Thus such situation leads to intervention of state and Supreme Court, which ensures minimum wages to a labourer.

8.7.1 THE MINIMUM WAGES

The minimum wages act was implemented in India in 1948. Minimum wages is the lowest wage limit, which cannot be allowed to sink in all humanity. This is the bare minimum wages, which is essential for the subsistence. If an employer cannot maintain his enterprise without slashing the wages of his employee below than the subsistence or minimum wage, he has no right to conduct his enterprise on such terms.

When the company is capable of paying minimum wages then the wage paid over and above is called fair wages.

8.7.2 THE FAIR WAGES

As per the principle of fair wage the amount paid should be sufficient enough to provide a living standard, to a family with food, shelter, clothing, health care and education to children appropriate to the work man but not at rate exceeding his wage earning capacity in the group of establishment to which he belongs. Thus it can be

concluded that fair wage has a relationship with earning capacity and workload. Now any wage paid over and above the fair wage is called living wage.

8.7.3 THE LIVING WAGE

Living wage means a wage in which worker can live over and above the basic need with frugal comfort enjoying leisure, old age benefits and coverage during evil days. Thus living wage is goal, which a workman desires to achieve. It is a really difficult task to fix the living wages. The upper limit of living wage will also depend upon the capacity of industry.

8.7.4 CAPACITY TO PAY

The maximum possible wages, which a company can pay, is called a capacity to pay. This capacity depends not only on the present economic position of the industry but also on its future prospects. The real wages will depend on following factors.

- (1) Productivity of individual labour
- (2) Prevailing wage rate in the same or similar occupation in same or neighboring area.
- (3) Distribution pattern and level of national income.
- (4) Place of the industry in the economy of the country.

8.8 CRITERIA FOR THE WAGE DETERMINATION

Profitability trends of any company over a period of time indicate firm's paying capacity. This also depends on competition faced by the company in the market and company's future plans. The ratio of net profit to net worth, capital investment and the share of the market held by the company are the overall pointers.

Market condition, technology used, wage cost to total cost of production or productivity guides wage paying capacity.

Labour productivity in quantitative terms can be defined as statistical ratio of output to labour input. It includes all factors like labour, capital and technology to the final output. A rise in productivity cannot be considered as sole impact of labour effort. Thus productivity is a useful pointer but it cannot be considered as a major instrument or only factor for the wage determination.

As rise in consumer's price index is a pointer of rising cost of living and a fall in the purchasing power of money leading to lowering of living standard.

Comparable pay in same or similar industries in the neighboring area can also be considered as criteria for wage determination. This criterion ensures that organisation is in a position to retain the employees within the context of labour market pressures.

8.9 COMPONENTS OF WAGE PAYMENT

Wages in India consists of basic wages, dearness allowance, bonus and fringe benefit. The total pay package is governed by internal as well as external variables such as economic performance of the company, government regulation and inflationary trends in the economy. As a result management does not have a complete control over the wage payment.

The bonus and fringe benefits are directly related to the productivity of workman and such benefits are given to boost the morale and motivation of the worker.

Ordinarily two systems of wage payment prevail in construction industry one is called time payment or day work payment another is piece rate or item rate system. However in following ways a company can reward his employee over and above the normal wages as shown in Table 8.1.

8.9.1 METHODS OF WAGE FIXATION

The management of any company does not enjoy too much discretion in setting terms and condition of employment because of awareness, emergence of trade union and active intervention of govt. and labour laws. In turn collective bargaining has become an important method of wage fixation. However state intervention adjudication machinery and wage boards retain their primary role in the wage system.

System	Type of Achievement	Form of incentive
Output based	Extra production	Extra Cash
Cost reduction	Reduction of labour and material cost or reduction in wastage	Extra Cash
Profit Sharing	Increase in profit	More Bonus
Day work	Meeting production standard	Extra Cash
Long run guarantee or careful operation of machine or good workmanship	Longer life of equipment, lesser break down and aesthetics	Employment Guarantee and long run benefits

Table 8.1 : SYSTEM, ACHIEVEMENT AND INCENTIVE IN HRM

8.9.2 WAGE TRENDS

In any developing country, inflation is part of the economy. On the result of this, purchasing power of money is always on decline. If this fall in real wages is not counter balanced, it will lead to impoverishment of an already weak section of the society living on subsistence level. On the other hand to maintain accelerated pace of capital formation, industries may not be in position to afford a higher rate of money wages. Thus any